

Tech Mahindra Ltd

TECHM | Information Technology

ROE	ROCE	OPM
9.0%	21.6%	8.7%
D/E Ratio	Interest Coverage	EPS
0.10	13.9x	■24.00

5-Year Financial Trend

Year	Revenue (Cr)	Net Profit (Cr)
2024-03	■51,996	■2,397
2023-03	■53,290	■4,857
2022-03	■44,646	■5,630
2021-03	■37,855	■4,353
2020-03	■36,868	■3,897

Cash Flow Intelligence

Metric	Value
CFO Quality	High Quality
CapEx Intensity	Asset Light
Capital Allocation	Self-Sufficient Growth
FCF 5Y CAGR	-1.8%
Distress Flag	No

✓ Investment Strengths (Pros)

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow

■ Investment Concerns (Cons)

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability